

Those with bottom-to-bottom price differences higher than the median were termed large; lower than the median were termed small.

Lower bottom. When the left bottom was below the right bottom, performance improved after the breakout. The performance difference is marginal, though, just two percentage points. Still, an edge is an edge.

Experience

Let me tell you about what I found in my trade review.

Guess Inc.

In the spring of 2003, Guess Inc. (GES) started making a run for the moon. It climbed from a low of 1.65 to 9.79. That was a warning that the stock would move sideways to rest for a spell. Because the stock rose by almost six times, the likely horizontal move would last for months.

- Lesson: If a stock makes a significant climb, expect a sideways move of extended duration, proportional to the height of the rise.

I don't think I knew that then, and if I did, I ignored it. The stock formed an Eve & Eve double bottom in the rarified atmosphere near 7. The stock confirmed the double bottom at 8, and I was there with cash in hand, ready to give it to the smart money.

From my notebook: "18 June 2004. Filled at: 8.065 [adjusted for split]. Stop: 7.29 for a [potential] loss of 10%. This is below the minor low on 4 May 2004. Upside target: 9.92 for a 23% rise. I expect price to stall near old high, say 9.25.

"Mood (will trade work? Bought too soon?): Excited but cautious. I don't expect this to work out well. I think the market is about to tumble. Buy reason: EEDB [Eve & Eve double bottom]. The apparel market seems to be doing well. In the last few days, the stocks have moved higher, strongly. Many are like this one: They've reached a yearly high, then backtracked and are struggling to recover. The bad news is that it has a PE [price-to-earnings ratio] of 50. *Ouch*. I have my doubts about this one working, but if the market continues to climb, this might do well, too."